

1.

CASE #	CASE NAME	HEARING NAME
CVME2600134	MEDINA VS ONITY MORTGAGE CORPORATION	DEMURRER

Tentative Ruling: Judicial Notice Granted as to both parties' request as to the documents' existence, but not the truth of the matter. Demurrer overruled on the First Cause of Action. Demurrer sustained on the Second, Third, and Fourth Causes of Action with 20 days leave to amend.

1st Cause of Action for Violation of Civ. Code § 2923.6(c) - The Homeowner Bill of Rights ("HBOR") was enacted "to ensure that, as part of the nonjudicial foreclosure process, borrowers are considered for, and have a meaningful opportunity to obtain, available loss mitigation options, if any, offered by or through the borrower's mortgage servicer, such as loan modifications or other alternatives to foreclosure." (Civ. Code § 2923.4(a).) Among other things, HBOR prohibits "dual tracking," which occurs when a bank forecloses on a loan while negotiating with the borrower to avoid foreclosure. (See, Civ. Code § 2923.6; *Valbuena v. Ocwen Loan Servicing, LLC* (2015) 237 Cal.App.4th 1267, 1272.) Specifically, § 2923.6(c) prohibits the mortgage servicer (et al.) from recording a notice of default or notice of sale or from conducting a trustee's sale, while a loan modification application is pending. Further, a mortgage servicer (et al.) may not record a notice of default or notice of sale or conduct a trustee's sale until (1) it denies the modification and the time to appeal has expired; (2) the borrower rejects the modification; or (3) the borrower accepts the modification but later breaches/defaults on the obligation. (*Id.*)

In the present case, Plaintiffs allege that they submitted a loan modification application; Defendant denied that application; and Defendant foreclosed on Plaintiffs' property 8 days later, within the time period for appeal of the denial. (FAC at ¶¶ 6-10, 19, 23, 26.) These allegations are sufficient to state a cause of action for violation of Civ. Code § 2923.6(c). Defendant appears to argue that § 2923.6 does not apply because Plaintiffs did not show their circumstances had changed, but it cites no authority for this proposition. Civ. Code § 2923.6(c) clearly states that a mortgage servicer may not foreclose on a property until after the appeal period for the denial of a completed application for a loan modification expires.

2nd (Violation of Civ. Code § 2923.6(g)) and 3rd (Negligence) Causes of Action - Plaintiffs next asserts causes of action for violation of Civ. Code § 2923.6(g) and general negligence.

Civ. Code § 2923.6(g) states as follows: "In order to minimize the risk of borrowers submitting multiple applications for first lien loan modifications for the purpose of delay, the mortgage servicer shall not be obligated to evaluate applications from borrowers who have been evaluated or afforded a fair opportunity to be evaluated consistent with the requirements of this section, unless there has been a material change in the borrower's financial circumstances since the date of the borrower's previous application and that change is documented by the borrower and submitted to the mortgage servicer." Plaintiffs allege that Defendant violated this provision by failing to properly evaluate their

application for a loan modification. (FAC at ¶¶ 29-30.) However, “[s]ection 2923.6 does not grant a right to a loan modification. To the contrary, it merely expresses the hope that lenders will offer modifications on certain terms and conspicuously does not require lenders to take any action.” (*Intengan v. BAC Home Loans Servicing LP* (2013) 214 Cal. App. 4th 1047, 1056.) Furthermore, “when a borrower requests a loan modification, a lender owes no tort duty sounding in general negligence principles to “process, review and respond carefully and completely to” the borrower’s application.” (*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 948, 505 P.3d 625, 650.) Thus, Plaintiffs do not state a cause of action for breach of Civ. Code § 2923.6(g) or a cause of action for general negligence.

4th Cause of Action for Wrongful Foreclosure - The basic elements of a tort cause of action for wrongful foreclosure track the elements of an equitable cause of action to set aside a foreclosure sale. They are: “(1) the trustee or mortgagee caused an illegal, fraudulent, or willfully oppressive sale of real property pursuant to a power of sale in a mortgage or deed of trust; (2) the party attacking the sale [] was prejudiced or harmed; and (3) in cases where the trustor or mortgagor challenges the sale, the trustor or mortgagor tendered the amount of the secured indebtedness or was excused from tendering.” (*Lona v. Citibank* (2011) 202 Cal.App.4th 89, 104.) “Justifications for setting aside a trustee’s sale from the reported cases, which satisfy the first element, include the trustee’s or the beneficiary’s failure to comply with the statutory procedural requirements for the notice or conduct of the sale. (*Ibid.*) As Plaintiffs allege that Defendant failed to comply with Civ. Code § 2923.6(c), they have sufficiently alleged the foreclosure was illegal.

Plaintiffs still must allege that they either tendered the amount owed or were excused from tendering. (*Ibid.*) “[A] defaulted borrower who seeks to set aside a trustee’s sale is required to do equity before the court will exercise its equitable powers. ... Consequently, as a condition precedent to an action by the borrower to set aside the trustee’s sale on the ground that the sale is voidable because of irregularities in the sale notice or procedure, the borrower must offer to pay the full amount of the debt for which the property was security. ... The rationale behind the rule is that if [the borrower] could not have redeemed the property had the sale procedures been proper, any irregularities in the sale did not result in damages to the [borrower].” (*Id.* at 112.) There are four exceptions to the tender requirement: (1) the borrower attacks the validity of the underlying debt; (2) the borrower claims a setoff; (3) it is inequitable to impose a tender requirement; and (4) the deed is void on its face. (*Id.* at 112-113.) Here, Plaintiffs do not allege that they made a tender of the amount owed, nor do they allege facts showing an exception applies. Accordingly, they fail to state a cause of action for wrongful foreclosure, and the demurrer should be sustained with leave to amend.

2.

CASE #	CASE NAME	HEARING NAME
CVME2600159	ARMANI VS SHAKEY’S USA, INC	DEMURRER

Tentative Ruling: Unopposed Demurrer sustained with 20 days leave to amend. Complaint lacks sufficient facts to support the causes of action. Further, the Complaint is uncertain, ambiguous and unintelligible.